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AFRICAN DEVELOPMENT FUND



PROJECT APPRAISAL REPORT RICE VALUE CHAIN AND CLIMATE RESILIENCE PROJECT (RIVACREP)

MOZAMBIQUE

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AFRICAN DEVELOPMENT FUND



REPUBLIC OF MOZAMBIQUE

RICE VALUE CHAIN AND CLIMATE RESILIENCE PROJECT (RIVACREP)

AHAI/RDGS DEPARTMENTS

August 2025

CURRENCY EQUIVALENTS

Exchange rate effective 6/30/2025

Currency Unit ¹	Equivalent
1 Unit of Account	1.37 USD
1 Unit of Account	87.80 MZN
1 United States Dollar	63.90 MZN

FISCAL YEAR

1 January – 31 December

WEIGHTS AND MEASURES

1 Metric ton	2,204.62 Pounds (lbs)
1 Kilogramme (kg)	2.20462 lbs
1 Meter (m)	3.28 Feet (ft)
1 Millimetre (mm)	0.03937 Inch (“)
1 Kilometre (km)	0.62 Mile
1 Hectare (ha)	2.471 Acres

¹ Add any additional foreign or local currencies relevant to the project and their currency equivalents.

ABBREVIATION AND ACRONYMS

ADF	African Development Fund
ADVZ	Zambezi Valley, through the Zambezi Valley Development Agency
AfDB	African Development Bank
AgRED	Agriculture and Rural Economic Development Group
AVACYEP	Agriculture Value Chain and Youth Empowerment Project
AWPB	Annual Work Plan and Budget
B/C	Benefit–Cost Ratio
BLICRP	Baixo Limpopo and climate Resilience project
CBA	Cost Benefit Analysis
CRFA	Country Resilience and Fragility Assessment
EA	Executing Agency
EIRR	Economic Internal Rate of Return
E&SS	Environmental and Social Safeguards
ESIA	Environmental and Social Impact Assessment
FIRR	Financial Internal Rate of Return
GMS	Gender Marker System
IA	Implementing Agency
IAI	Agricultural Survey
IFAD	International Development Fund
INIR	National Institute for Irrigation
IIAM	National Agriculture Research Institute
IRRI	International Rice Research Institute
JICA	Japan International Cooperation Agency
MAAP	Ministry of Agriculture, Environment and Fisheries
NAP	National Adaptation Plan
NPV	Net Present Value
NPSC	National Project Steering Committee
O&M	Operations and Maintenance
PCR	Project Completion Report
PDO	Project Development Objective
PEDSA	National Agriculture Development Strategy
PNISA	National Investment Plan for the Agrarian Sector
PHL	Post-Harvest Loss
PIU	Project Implementation Unit
PROCAVA	Integrated Agri-food Value Chain Development Program
PPF	Project Preparation Facility

REWARD	Regional Rice Resilient Value Chains Development Program
SCF	Standard Conversion Factor
SEPA	Skills for Employability and Productivity Action Plan
SGD	Sustainable Development Goals
SPAZ	Pemba-Lichinga Integrated Development
TAAT	Technologies for African Agricultural Transformation
ToC	Theory of Change
UA	Unit of Account
USAID	United States International Development Agency
WUA	Water User Associations

PROJECT INFORMATION SHEET

CLIENT INFORMATION

Project Name	Rice Value Chain and Climate Resilience Project (RIVACREP)
Sector	AHAI
Grant Recipient	Republic of Mozambique
Project Instrument	ADF-16 Grant
Executing Agency	Ministry of Agriculture, Environment and Fisheries

COUNTRY AND STRATEGIC CONTEXT

Country Strategy Paper Period:	2023 – 2028
Country Strategy Paper Priorities supported by Project:	Priority 2: Sustainably transform agricultural value chains by strengthening of hard and soft infrastructure
Government Program (PRSP, NDP or equivalent):	National Development Strategy (ENDE) - 2025-2044; National Agriculture Development Strategy, [2022-2030] and National Investment Plan for the Agrarian Sector-PNISA -2022 to 2027.
Project classification:	Feed Africa (1.1 Agriculture Productivity), Industrialize Africa (3.5 Micro, Small and Medium Enterprise support) and Improve the livelihoods of African People (5.6 Investments for job creation) SGD 1: No poverty, Goal 2: Zero hunger, Goal 5: Gender equality, Goal 9: Industry, innovation and infrastructure development and G13: Take urgent action to combat climate change and its impacts
Selectivity priority/ies²:	2.1 Strengthen Agriculture Value Chains
Country Performance and Institutional Assessment:	3.27 (2023)
Projects at Risk in the country portfolio:	38% of flagged operations (30/05/2025)

² Refer to guidance here - [Sharpening the Bank's Strategic Focus- A proposal to increase the Bank's selectivity](#)

PROJECT CATEGORISATION

Environmental and Social Risk Categorization	Category 1, [07/04/2024]
Does the project involve involuntary resettlement?	No
Climate Safeguards Categorization:	Category 2
Fragility Lens Assessment:	Yes, to align with the three strategic of institutional strengthening, building resilient societies and catalysing private sector activities. The project targets vulnerable groups, with efforts to build resilience.
Gender Marker System Categorization:	Category 2

ADF KEY FINANCING INFORMATION

Source	Amount (millions)		Financing Instrument
	UA	USD	
African Development Fund	16.60	22.81	ADF-16 Grant
Government Counterpart Contribution	2.29	3.15	In Kind
Total Project Cost	18.89	25.95	-

PROJECT DEVELOPMENT OBJECTIVE AND COMPONENTS

Project Development Objective:	The project goal is to improve competitiveness and climate resilience of the rice value chain in Mozambique improve production, productivity, market share (competitiveness) and income generation from rice production.
Project Components:	Component 1: Improve climate smart rice productivity and production
	Component 2: Integration of Private Sector into Rice Value Chain Development
	Component 3: Institutional and Policy Strengthening and Implementation Support
	Component 4: Contingency Emergency Response (zero cost / budget).

PROJECT PROCESSING SCHEDULE TO BOARD APPROVAL

PCN Approval:	30-04- 2025
Appraisal Mission:	08-04-2025- 02-05-2025
Planned Board Presentation:	19-09- 2025
Effectiveness:	19-12- 2025
Project Implementation Period:	19-12-2025 to 31-12-2030
Planned Mid-term Review:	2028
Project Completion Date	31-12-2030
Project Closing Date:	30-06-2031

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1 STRATEGIC CONTEXT

A. COUNTRY CONTEXT, STRATEGY AND OBJECTIVES

1. In April 2025, the Government of Mozambique approved the National Development Strategic (2025-2044) (ENDE) in alignment with the Sustainable Development Goals aspirations and priorities of the agenda 2030. The ENDE is aligned with the AU Agenda 2063 and Regional Indicative Strategic. The agricultural sector in Mozambique is also guided by the National Agriculture Strategy (PEDSA) and its National Investment Plan for the Agrarian Sector-PNISA (2022-2027) as part of the National Strategy for Poverty Reduction (PRSP) in alignment with the Comprehensive African Agriculture Development Program (CAADP). The PEDSA main pillars include enhancing production and productivity of key agricultural value chain where rice is highlighted. Thus, RIVACREP is aligned with the Government's poverty reduction efforts, increase rice production, productivity and employment promotion with a focus on youth and women. Furthermore, Mozambique has a National Climate Change Strategy that identifies agriculture as the most vulnerable economic sector to climate change. The Strategy aims to reduce vulnerability and promote adaptation and disaster risk reduction. The African Development Bank's Country Strategy Paper (CSP) 2023-2028 for Mozambique was approved by the Board of Directors in 2023. This is aligned with ENDE particularly – (i) Improving economic governance and business environment to facilitate private-sector investments and mobilize resources and – (ii) Sustainably transform agricultural value chains by strengthening of hard and soft infrastructure.

2. In January 2023, the Heads of State and Government of 34 African countries met in Dakar for the Summit jointly organized by the African Union (AU) and the African Development Bank (AfDB) under the theme "Feed Africa: Food Sovereignty and Resilience". This project is based on the recommendations from the Dakar II Summit as part of the Bank's Feed Africa Strategy (2016-2025) that seeks to transform Africa's agriculture into a competitive, inclusive, and agribusiness-oriented sector providing food and nutrition security for Africans, creates economic opportunities, and improves livelihoods of rural African communities. During the summit, Mozambique presented a Compact focusing on three priority value chains, namely rice, poultry and edible oils (soybeans, sesame, sunflower) to achieve food/nutrition security and self-sufficiency.

3. The project Development Objective (DO) of the RIVACREP is to increase the production, productivity and competitiveness of domestic rice for consumption, export and income generation. The RIVACREP is aligned to (i) ADF-16's and (ii) the new Country Strategy Paper (2023-2028), Priority Area II, that focuses on sustainably transforming agricultural value chains by strengthening hard and soft infrastructure. The project is also aligned with the Gender Strategy (2021–2025), Skills for Employability and Productivity Action Plan (SEPA: 2022-2025), Jobs for Youth in Africa Strategy (2016–2025), the Multisectoral Nutrition Action Plan (MNAP 2018 – 2025), the Climate Change and Green Growth Policy and the Bank Group's Strategy for Addressing Fragility and Building Resilience in Africa (2022-2026).

B. SECTOR AND INSTITUTIONAL CONTEXT

4. The agriculture sector in the Republic of Mozambique contributes approximately to 27.8% of the country's GDP. Agriculture sector is considered a priority sector in the Constitution of the Republic, as it is the main source of employment for approximately 74.6% (92% women) of the population of which 66% live in rural areas. In Mozambique, smallholder productivity and incomes are low mainly due to limited appropriate technologies, the use of traditional agricultural methods, high post-harvest losses (estimated at 26%), high levels of stunting 43%, low quality of seed varieties, low levels of mechanization, less value addition activities, and limited access to extension services and information. Access to information and Markets is extremely restricted, and smallholder farmers have limited access to financial services, with poor growth outlook, no wealth creation and exposed to shocks. Additionally, low economies of scale suppress produce prices.

5. Mozambique has been making major positive changes in many areas to eliminate hunger, achieve food security and improve the nutrition status, as well as promote sustainable agriculture. Despite the progress made, it is still imperative to continue promoting dietary diversification to meet the nutritional needs of the population and strengthen the economy by encouraging local production

and the food supply and value chain. Rice is one of the most consumed cereals in Mozambique, however the national production is below 50% of the local demand. Thus, the RIVACREP is in line with the Government's poverty reduction efforts, increase rice production, productivity, employment promotion and wealth promotion with focus on youth and women. The project is part of the National Rice Value Chain Program (PNA) contributing to the implementation of the Government's 5-Year-Investment Plan in which the agriculture sector was prioritised.

6. The project will benefit from synergies/coherence with other projects planned and or implemented in the same area. Examples of projects being implemented are the PROVACA, implemented by the IFAD and the Bank in several areas of Mozambique. A new rice project is planned by the JICA in the district of Xai-Xai. In the central region of Zambezia, the World Bank and the Zambeze Valley Development Agencies have been actively implemented rice value chain development activities.

C. RATIONALE FOR BANK'S INVOLVEMENT

7. The Bank's role is mandated by its member countries to advance agricultural transformation in Africa through the Feed Africa Strategy (2016-2025). Since 2016, the Bank has invested more than USD 6 billion in agriculture, including UA 200 million in RVCs in West Africa in partnership with the Africa Rice Center (AfricaRice). The Bank supported the development of the Continental Investment Plan for Accelerating Rice Self-Sufficiency in Africa (CIPRiSSA) in 10 countries, 6 of which are in West Africa. It financed the dissemination of New Rice for Africa (NERICA) in 7 West African countries (Multinational Nerica Rice Dissemination Programme-MNRDP), coordinated by AfricaRice. More than 35000 people from rice-growing households were lifted out of poverty by the end of the MNRDP, and half a million people are expected to be lifted out of poverty by 2035 (long-term benefits).

8. RIVACREP is built on the outcomes of this successful programme. The Bank's involvement is also justified considering its emergency programmes under the USD 1.5 billion African Emergency Food Production Facility (AEFPF) to mitigate the impact of the multiple shocks resulting from the Russia-Ukraine conflict. RIVACREP will be implemented in synergy with AEFPF operations regarding (i) innovative technologies promoted by the Technologies for African Agricultural Transformation (TAAT) programme; (ii) input financing mechanisms promoted by the Africa Fertilizer Financing Mechanism (AFFM); (iii) climate-smart practices promoted by the Climate Smart Agriculture (CSA) initiative.

9. The Bank has a comparative advantage in development of agriculture, in line with the Bank's Ten-Year Strategy (TYS: 2024-2033), particularly in its operational focus areas (private sector infrastructure) and areas of special emphasis (agriculture and food/nutrition security). This project is aligned with the Bank's strategies for scaling up and accelerating the High 5s, covering over three (03) pillars, namely: (i) Feed Africa Strategy for Agriculture Transformation in Africa" though strengthening food and nutrition security for Africa; (ii) Industrialise Africa, with the rice processing units contributing to establishment of Africa's manufacturing sector as an engine of job creation on the back of elevated infrastructure, with the engagement of the private sector, and enterprise development; and (iii) Improve the quality of life for the people of Africa", with special support to women and youth to fulfil their potential and leverage gains from improved nutrition status (grey matter infrastructure).

10. **Development Partners Coordination** Several development partners are engaging in the agricultural sector. A coordination body exists, the Agricultural and Rural Development Working Group (AgRED) of which the Bank is a member of. Some of the development partners, particularly the World Bank and JICA are implementing rice development programs in Mozambique. The design of RIVACREP was based on extensive internal and external consultations. These included: consultative meetings with public, private and associative stakeholders in the regions concerned and multi-stakeholder meetings held as part of the project preparation and design processes. The Project has been presented to partners for effective coordination and additional resources mobilization.

2 PROJECT DESCRIPTION

A. PROJECT DEVELOPMENT OBJECTIVE

11. The development objective (PDO) is to improve competitiveness and climate resilience of the rice value chain in Mozambique, improve production, productivity, market share (competitiveness) and income generation from the rice production.

12. The project specific objectives include: a) To increase production, productivity and market access while ensuring cross-cutting issues fulfilment (nutrition, gender, climate smart, etc) in Mozambique b) To develop resilient production infrastructure and improve climate adaptation mechanisms to project targeted beneficiaries and c) To support policies and capacity building to create an appropriate environment for Micro-, Small, and Medium Enterprises development and attract the private sector.

B. THEORY OF CHANGE

13. The project's Theory of Change (ToC) is based on the recognition of the country's food and nutrition security challenges, including a rapidly growing population, severe malnutrition (stunting) levels, and evolving food consumption patterns. Tied to this is the exposure of communities to perpetual poverty and vulnerability. Insufficient rice production levels to meet the country's demand, limited access to markets and financial services and the prevalent climatic shocks further weaken Mozambique's rice production capabilities.

14. To address these challenges, the project adopt a three-pillar approach, namely, (i) improving rice production and productivity by enabling the development of improved and adoption of appropriate technologies and dissemination of the best practices (e.g. soil preparation/levelling, soil and water management-irrigation and drainage, seeding, crop management, weed controlling, post harvesting land management, mechanization for rice harvesting, processing mechanism, packaging, among others) among participating actors. (ii) building climate-resilient infrastructure, establish market linkages, and add value to the rice produce and products; and (iii) empower rice farmers to produce and market nutrient-rich rice varieties.

15. Additionally, the project will provide funding to the rice value chain participants including certified seed multipliers, agro-traders, and agro-processing industry in align with the MAAP development approach. This will be based on stakeholder engagement (the value chain actors) including producers and building their capacities to improve their economies of scale and bargaining power. **RIVACREP Outcomes:** The expected outcomes of the project align with the ToC and are as following: , (i) increase rice yield including nutrient rich/biofortified varieties, from 1 to 4 ton/ha, (ii) Increase rice self-sufficiency in Mozambique, from 50% to 75%; (iii) Increase in household income in targeted areas, from 590 to 1000 USD Per-Capita and (iv) Number of beneficiaries reached with nutrition promotion interventions, from 0-6000 beneficiaries. By adhering to the ToC principles, the project will set a clear path towards achieving its objectives. The project identifies the root challenges, proposes a logical approach, and anticipates the desired impact through its expected outcomes.

16. **Assumptions:** The ToC was elaborated seeking to provides a clear roadmap of how the project intends to achieve long-term development goals through a logical sequence of inputs, activities, outputs, outcomes, and impacts. The assumptions include the following: (i) The Mozambican Authorities provide strong support for the project implementation and success; (ii) The project's beneficiaries are willing and able to adopt new practices and good production technologies and adaptation strategies promoted by the project; (iii) The value chain actors use the resilient infrastructures developed by the project; (iii) Peace and stability are guaranteed, particularly in the central and northern regions of Mozambique, where non-state armed groups have internally displaced some people and disrupted livelihood and economic activities; (iv) Climate shocks are not

overwhelming (manageable droughts/floods); (v) Local governance remains stable enough to implement the project activities; (vi) Input and output markets are accessible and functional in the country agriculture context; (vii) Relevant infrastructures for rice value chain are not so poor that it prevents market access.

C. PROJECT COMPONENTS

Component 1: Improve climate smart rice productivity and production, UA 11,984.60 (UA*1000)

17. The major goal of this component is to improve competitiveness and climate resilience of the rice value chain in Mozambique, improve production, productivity, market share (competitiveness) and income generation from the rice production. This is expected to impact on the poverty reduction and economic growth in the country. The target beneficiaries are value chain actors in the rice value chain (researchers, extension agents; producers; input suppliers; aggregators; processors; traders and consumers). The target area is the main rice agroecosystems of the project targeted sites. Major activities will include (i) infrastructure rehabilitation (irrigation; processing); (ii) soil levelling; (iii) introduction of climate smart technologies, particularly improved rice seeds.

Sub-component 1.1: Rice Value Chain Development (UA3,700.00)

18. The goal of this sub-component is to contribute to increase rice self-sufficiency to 75% by the end of the project. This will be achieved by increasing the current rice yield from 1 ton/a to 4 ton/hectare in the project area. The activities in this sub-component include: (i) Development of rice seed systems by strengthening the Mozambique Agricultural Research Institute (IIAM) through TAAT and other rice institutes (CGIAR-IRRI-Africa Rice) using existing Nutrient-rich Rice Varieties; (ii) Promote the use of improved quality inputs including seeds, agrochemicals and other inputs; (iii) Promote the development of local private sector (agro-dealers) to strengthen the availability of relevant inputs for rice production combined with technical assistance to farmers including sustainable training and skill development through the access to technology and information including the use of digital tools to train farmer trainers.

Sub-component 1.2: Resilient Infrastructure development for rice production (UA6,600.00)

19. This sub-component includes the rehabilitation of 1000 ha of irrigation system including soil levelling, drainage, dikes, small dams, and internal (feeder) roads in specific and critical routes.

Sub-component 1.3: Nutrition Education and Promotion (UA1,684.60)

20. The activities under this subcomponent include, (i) Design and implement nutrition education and promotion activities in Zambezia and Nampula; (ii) Design and test a behavioural economics nudge intervention to promote the consumption of nutrient enhanced rice and other highly nutritious foods; (iii) Promoting the consumption of highly nutritious and healthy diets among children and women in Sofala and Gaza provinces; (iv) Incentivize private sector partnerships for the production, processing, and distribution of nutrient rich or iron and zinc biofortified rice; (v) Promoting safe storage of rice (through e-vouchers) at household level to improve food security and nutrition.

Component 2: Promote the Integration of private sector into rice development value chain, UA 4,697.90 (UA*1000)

Sub-component 2.1: Improve Rice milling/Factories (UA1,602.90)

21. Under this subcomponent, the project will (i) Promote construction of five (05) small-scale rice milling factories and 10 aggregator centres with private sector engagement (PPP model); (ii) Capacity building of rice producers to engage in out-grower schemes and/or contract farming structures responding the marked quantity and quality requirements.

Sub-component 2.2: Access to Market and Financing Mechanisms for the Development of the Rice Value Chain (UA3,095.00)

22. To address market linkages and availability of resources to the farmers, the project will provide production inputs through the procurement mechanisms accepted by the Bank and the Government of Mozambique. Additionally, the project will implement a digital platform (KUZA platform), using

funds from a different project. This platform will allow government capacity enhancement to register projects beneficiaries and deliveries, including cost-sharing mechanisms management across government operations in the agriculture sector. This is a well-established method across different markets. This platform will be expanded to further AfDB financed projects under the agriculture portfolio.

Component 3: Institutional and Policy Strengthening and Implementation Support, UA 1,390.98 (UA* 1000)

Sub-component 3.1: Supporting the Institutional and Policy Strengthening for rice value chain (UA375.00)

23. This subcomponent will ensure (i) Socioeconomic assessment of technology adoption in rice value chains; (ii) Feasibility study for a reference pricing mechanism to balance producer-consumer interests; (iii) Capacity building of extension staff, on different points of the rice value chain; (iv) Annual stakeholder consultation with key actors in the rice sector (farmers, processors, private sector and policymakers) to align intervention with market needs; (v) Conduct a review of existing rice-specific legislation and propose updates to align with regional and international standards; (vi) Develop reference price norms for rice to stabilize market; (vii) Provide capacity building initiatives on hygiene and biosafety measures for rice production, food processing, and business management.

Sub-component 3.2: Project Coordination and Management (UA1,015.98).

24. Under this subcomponent, the project will support, (i) Project coordination and monitoring activities, including knowledge management aspects; (ii) Capacity building of agricultural authorities at national, provincial and district levels to support effective project implementation.

Component 4: Contingency Emergency Response, UA 00.00 (UA* 1000)

25. This is a zero-budget component designed to strengthen the project's climate resilience in the face of increasing climate extremes and disaster risks. Mozambique's high exposure to physical climate risks, conflict-induced internal displacement, and public health emergencies underscores the need for a contingency provision to activate an Immediate Response Mechanism (IRM). This component will leverage savings from costed sub-components or be accommodated through re-prioritization during project implementation. It will be managed to support activities undertaken by INGD, in coordination with MAAP, in line with its mandate on Disaster Risk Reduction (DRR), and in alignment with Mozambique's National Adaptation Plan (2023) and local adaptation plans across the project's target districts.

D. PROJECT COST AND FINANCING ARRANGEMENTS

26. The total cost of the project is estimated at UA 18.89 million. From this amount, the Bank through ADF-16, will finance a net amount of UA 16.60 million covering 88% of expenses including taxes (VAT). The Government will provide in-kind contribution e to RIVACREP through provision of office space, furniture, water, electricity, and other physical facilities for the effective project implementation estimated at UA 2.29.00 million, equivalent to 12.00% of the total cost of this operation. The physical contingency of 5% for works and 2% for goods as well as annual price contingencies of 3% and 2% for local and foreign inflation respectively have been factored into the total cost. The estimate of the contingencies was made based on the cost of similar projects and the current rates of inflation of the local currency and foreign exchange.

E. PROJECT'S TARGET AREA AND POPULATION BENEFICIARIES AND OTHER STAKEHOLDERS

27. The project will be implemented in the provinces of Gaza, Sofala, Zambezia and Nampula. For the Nampula province, the project will focus on seed allocation mechanisms, training, technology and information systems. According to the 2023 Agricultural survey (IAI, 2023), these 4 provinces have more than 110,000 smallholder households producing rice, representing 65% of rice smallholder producers in Mozambique. The total population of these provinces is 14.4 million,

representing 45% of the total population of Mozambique, among this population the project will have the potential to reach a high stunted number of children in especially Zambezia with 44% of the children stunted, however, the project will target smallholder farmers, emergent and private farmers that are working in the rice value chain.

28. The project targets to increase rice production and productivity of 30,000 smallholder producers (70% women and 30% youth) in the selected eight districts of the four (4) Provinces with focus on small and medium famers, Millers, civil society, micro finance institutions. Out of the 30,000 farmers, 8,000 will be smallholder rice producers and the other 21,800 will be producers

supported with interventions aimed at strengthening their climate resilience in the rice value chains. It is also expected that the project will support 200 medium scale farmers.

29. The project will further pay particular attention to women headed households and the youth while ensuring that women in men headed households are not left out. The target area is of considerable vulnerability to climate change effects. Nampula, for example, hosts IDPs, whose gradual return to their livelihoods will be considered for input distribution on an ongoing case-by-case basis. Special attention will be paid on nutrition mainstreaming and economic recovery of vulnerable groups, including the IDPs and the elderly.

30. The criteria for selecting the beneficiaries were conducted in a participatory fashion involving the project team, community-based organizations, local structures, and other stakeholders. Meetings were held with (government central and provincial), as well with farmers organizations, processors; research institutions; inputs providers; financial institutions and development partners.

F. BANK GROUP EXPERIENCE AND LESSONS REFLECTED IN DESIGN

31. RIVACREP design considered the lessons learned from past projects in Mozambique and other regions, such as West Africa, where Regional Rice Resilient Value Chains Development Program (REWARD). Some of the lessons include the need for coordination with the executing/implementing agency to earlier provide designs and bill of quantity for infrastructure construction, as well as carrying out advance procurement for key PIU staff.

32. The design of this project is also considering the need to be equipped with independent data collection and analysis, to generate timely and concrete impact evidence, considering that the PIUs face constraints to perform this by themselves. Moreover, regular training on the Bank's fiduciary framework will also be vital to reinforce implementation capacity. There are also lessons to be drawn from the capacity to implement the environmental and social safeguards which currently is weak.

33. Key lessons learnt from Mozambique experience include the need to: (i) improve the project design process with consideration to existing capacity within the country so as to ensure timely implementation; (ii) Project readiness and quality at entry for both regional and national operations; (iii) Rationalize the number of conditions necessary to declare the grant effective in order to reduce implementation delays; (iv) increase capacity of implementing agencies especially in the project management and (v) enhance the supervision of projects particularly monitoring and evaluation to minimize delays in completion (vi) delays in provision of counterpart funds, partly owing to late approval and release of funds by Government.

3 PROJECT FEASIBILITY

A. FINANCIAL AND ECONOMIC ANALYSIS

34. The economic and financial analysis of the project was undertaken to assess the likely impact of the project financing on the beneficiaries and the economic soundness of the overall project. The project derives its benefits based on the increased production and productivity of rice as well as increased financial returns to the rice producers and rice millers.

35. The economic and financial analysis was carried out using a cost-benefit analysis (CBA) approach on the rice production model and rice milling model on "with the Project" and "without the Project" scenarios. The key assumptions include: (i) a Project Life period of 20 years; (ii) a 36% increase in production yield per annum from year 1 to year 5 for with project scenario; (iii) 2 cropping cycles per year for rice production; (iv) 12% and 20% Post-Harvest Loss (PHL) for with project scenario and without project scenario respectively; (v) Markets prices were used for the financial analysis while Standard Conversion Factor (SCF) of 0.96, a conversion factor of 0.91 for tradable goods, 0.85 for domestic non-tradable goods, and a shadow wage rate factor of 0.88 was used to get the economic values for inputs and outputs for the economic analysis; (vi) Price index of 3.3% determined using the current inflation rate; and (v) Discount rate of 12% was used as the opportunity cost of capital Project.

36. The result of the economic and financial analysis gave an overall Economic Internal Rate of Return (EIRR) and Financial Internal Rate of Return (FIRR) of 29.71% and 28.02% respectively, the

Net Present Value (ENPV) of USD 27.00 million, and benefit-cost (B/C) ratio of 1.88. Since the ENPV is positive, the EIRR and FIRR are above the opportunity cost of capital, the NPV is positive, and the B/C ratio is greater than 1, the project is deemed financially profitable, economically viable, and therefore, acceptable for investment.

37. Sensitivity analysis was also conducted on the economic and financial parameters for various scenarios, and the analysis shows that the project is quite robust and would remain viable under a range of alternatives. With a 30% decrease in rice yields, the project remains financially viable (FIRR 24%, financial NPV USD 24.79 million). Given a 30% increase in input price, the project maintains viability (FIRR 18%, NPV USD 21.62 million), and a 30% rise in post-harvest loss still yields positive results (NPV USD 22.51 million, FIRR 24%).

Table 3-1: Key economic and financial figures (for cost benefit analysis)

Parameter	Unit	Value
Benefit and Cost ratio (B/C)	[-]	1.88
Financial Internal Rate of Return (FIRR)	%	28.02
Economic Internal Rate of Return (EIRR)	%	29.71
Net Present Value (NPV) @discount rate of 12%	USD	27.0 Million

Additional Positive Effects

38. Additional Positive Effects: In addition to the financial and economic benefits mentioned above, the project will provide the following benefits: (i) reduction in poverty rates in the areas targeted by the Project; (ii) reduction in malnutrition as a result of increased levels of productivity of the farms; (iii) reduction in unemployment through job creation for young women and men in the rice value chain.

B. ENVIRONMENTAL AND SOCIAL SAFEGUARDS

39. Categorization: The project has been confirmed as Category 1 (high-risk) on 05/02/2024, in line with Mozambique's Environmental Impact Assessment Regulation (Decree 54/2015) and the AfDB Integrated Safeguard System, due to significant direct environmental and social risks and impacts—particularly from the rehabilitation of 1,000 hectares of irrigation infrastructure in Zambezia and Sofala Provinces, the upgrading of five water storage sites in Zambezia and Nampula, and the construction of drainage, dikes, small dams, and internal (feeder) roads and irrigation schemes—which could cause pollution, habitat loss, strain on water resources, health risks to workers, increased exposure to vector-borne diseases, and potential social conflicts over land and water use, all of which may result in serious, irreversible adverse impacts if not properly mitigated.

40. Required Environmental and Social safeguards instruments. The project was required to prepare Environmental and Social Impact Assessment (ESIA) reports for four implementation districts—Limpopo, Buzi, Mopeia, and Nicoadala. The Recipient was also required to prepare an Integrated Pest Management Plan and a Stakeholder Engagement Plan with a Grievance Redress Mechanism. All four ESIA reports were consulted upon, reviewed, and cleared by the Bank, and subsequently approved by national environmental authorities on 30 August 2024 (Limpopo), 5 September 2024 (Buzi), and 4 September 2024 (Mopeia and Nicoadala). Additionally, an Environmental and Social Management Plan mandatorily annexed to the Financing Agreement (FA-ESMP) was prepared, and the Environmental Licence publicly disclosed. As part of the environmental licensing process, ESIA documents were made accessible at national, provincial, and district levels, with public consultations conducted through newspapers, radio, and community meetings in line with national law. Final ESIA versions were disclosed in-country on 16 September 2024 and on the Bank's website on 18 September 2024. The FA-ESMP was disclosed nationally on 3 April 2025 and online in the Bank's website on 15 April 2025, with the Bank confirming that public consultations were carried out adequately.

41. Environmental and Social Risks. The project risks from Construction Phase are associated with civil construction works. The following risks are expected: risks to workers' health and safety, such as falls, machinery-related accidents, and traffic accidents by construction vehicles, spread of water borne diseases. During the Operation Phase these risks are foreseen: (i) Pollution from increased agrochemical use, leading to soil, air, and water contamination; (ii) Poor waste management in processing facilities which may further degrade ecosystems; (iii) Occupational health and safety hazards from exposure to agrochemicals, poor workplace conditions, and sanitation

concerns; and (iv) Vector-borne disease risks due to stagnant water accumulation.

42. **Environmental and Social Impacts.** During the construction phase, the project may lead to health and safety impacts such as injuries, fatalities, reduced productivity, workforce downtime, and communicable disease outbreaks. Environmental concerns may include pollutant emissions from machinery, dust and particulate matter, as well as soil and water contamination from fuel and oil spills. These impacts are considered moderate to low in significance and are manageable through appropriate mitigation measures.

43. During the Operation Phase, the project's most significant impacts include soil degradation from excessive and improper use of fertilizers and pesticides, water contamination due to agricultural runoff and untreated effluent discharge, air pollution from machinery emissions, and soil salinization caused by poor drainage, which can reduce productivity. Moderate to low impacts include noise and dust emissions, vulnerability to workplace accidents, and increased risk of vector-borne diseases—such as malaria, schistosomiasis, and filariasis—associated with stagnant water and inadequate drainage systems.

44. **Risk and Impacts Mitigation Measures.** The primary mitigation measures addressing risks and impacts across the project's biological, physical, socio-economic, and health and safety components have been incorporated into the environmental and social management plans and programmes developed as part of the project's cleared Environmental and Social Impact Assessment (ESIA).

45. To mitigate construction phase impacts, the project will implement site-specific Occupational Health and Safety (OHS) plans to address workplace hazards, ensure proper sanitation, and manage vector breeding sites to reduce disease outbreaks. Environmental measures include minimizing emissions and pollution through low-emission practices like Alternate Wetting and Drying (AWD), use of solar-powered irrigation, locally sourced materials for infrastructure, responsible agrochemical management, dust control, and runoff and wastewater treatment systems—all contributing to a low-carbon, climate-resilient development approach. These actions are detailed in Section 3.3 and in the approved Environmental and Social Management Plan (ESMP).

46. During the Operation Phase, key mitigation measures include adopting Integrated Pest Management (IPMP) to reduce chemical use through biological control, crop rotation, and resistant crop varieties; establishing vegetative buffer zones to control runoff into water bodies; and implementing robust waste management systems to reduce water pollution and pest risks. To combat soil salinization, the project will employ engineering, agronomic, and soil management strategies, including proper drainage and controlled irrigation, as outlined in Section 3.3 (Climate Change). Occupational health and safety will be addressed through PPE, hygiene facilities, and improved workplace conditions to manage noise and dust. Additionally, vector-borne disease risks will be mitigated by ensuring proper drainage to eliminate stagnant water and by promoting community awareness in partnership with health authorities.

47. The above measures are well detailed in the various specific plans part of the ESIA of the project. These include: the Air Quality Management Plan, Water Resources Management Plan, Soil Management Plan, Pest Management Plan, Stakeholder Engagement Plan, Complaints Resolution Mechanism, Occupation, Health and Safety Management Plans, and the Waste Management Plan. Additional capacity building will be implemented for farmers on sustainable agricultural practices (e.g., system of rice intensification, alternate wetting and drying techniques), promote integrated pest and nutrient management to reduce chemical reliance; and encourage agroforestry or intercropping to protect ecosystems. To prevent conflicts and ensure inclusivity and avoid inequalities the developed SEP as part of the ESIA shall provide transparent communication and grievance redress mechanism. The estimated cost for implementing and monitoring environmental and social risk mitigation measures, including stakeholder engagement and grievance redress mechanisms, is UA 630,000.

48. **Institutional Capacity to Implement Environmental and Social Mitigation Measures.** The Ministry of Agriculture, Environment and Fisheries (MAAP) will act as the Executing Agency for the project, with the National Directorate of Agriculture (DINAG) serving as the Implementing Agency. Although experienced with Bank-financed projects and knowledgeable about the Integrated Safeguard System, their capacity to implement environmental and social management plans remains limited. To address this, one Environmental and one Social specialists will be appointed to the PIU.

The ESIA process included a capacity assessment of key stakeholders—including government bodies and civil society organizations—and recommended targeted capacity-building measures focused on environmental, health, and safety aspects. Civil society associations and community-based organizations will also be engaged to raise awareness on sustainability and community safety. These measures are integrated into Component 3 of the project, with an allocated budget of UA 1.42 million.

49. Involuntary Resettlement: The project is not expected to generate involuntary resettlement as it will be implemented on areas currently in agricultural use or rehabilitation of existing infrastructures. Evidence that the land is free of occupancy has been included in the ESIA.

50. E&S Compliance and readiness: The Recipient has prepared and disclosed four ESIA's cleared by the Bank and disclosed in-country and by the Bank, committing to fully implement all related environmental and social plans, including measures for unforeseen risks. Monthly E&S performance reports and annual independent audits will be submitted and shared with both the Bank and stakeholders. A project-level Grievance Redress Mechanism (GRM) will be established at the start of implementation and maintained throughout the project. In the event of an Environmental-Occupational-Health and Safety (EOHS) incident, the Recipient must notify the Bank within 48 hours, provide relevant investigation reports, and, if required, submit a root-cause analysis and implement a corrective action plan. These commitments are embedded in the financing agreement and its annexed ESMP. On that basis, the project is compliant and ready for submission to Board consideration, as evidenced by the ESCON in section 8 of this document.

C. CLIMATE CHANGE AND GREEN GROWTH

51. The categorization of the project is 2 using the Bank Climate Change Safeguard System (CSS). The project focuses on Gaza, Nampula, Sofala, and Zambezia provinces in Mozambique, covering key river basins—Limpopo, Lurio, Zambezi, and Save—characterized by low slopes (0–15°) and high vulnerability to water-related risks. Rainfall distribution is highly variable across the catchments, with Standardized Precipitation Index (SPI) values indicating significant seasonal water stress—especially during the critical rice-growing period from November to March. Hydro-meteorological analysis using the AQUEDUCT tool reveals medium to extremely high-water risks, including severe flood risk in most project areas, moderate drought risk, and high seasonal variability. These risks directly threaten irrigation infrastructure, increasing the likelihood of physical damage and escalating operation and maintenance (O&M) costs. For example, Cyclone Idai (2019) and Cyclone Filipe (2024) flooded over 102,000 ha and 282,000 ha of land respectively, damaging cropland and infrastructure, and highlighting the region's low adaptive capacity and slow post-disaster recovery. Land use and land cover change analyses show increasing land degradation due to deforestation, intensive cropping, and extreme weather. Soil erosion—estimated using the RUSLE model—ranges from moderate to high, particularly in lowland zones.

52. Although future water supply may remain relatively stable, water demand across the project areas is projected to rise by 1.2 to 1.7 times by 2030 under a pessimistic climate scenario (SSP5.8.5), intensifying competition and potentially constraining irrigation water availability. Mozambique has already experienced a ~20% decline in rice yields since 1981 due to climate-related disruptions³. Water stress, infrastructure damage, and poor adaptive capacity contribute to rice productivity losses, affecting both yield and production stability. Although some recovery has been observed—from 0.54 t/ha in 2015/2016 to a projected 0.66 t/ha in 2024/2025—climate risks continue to pose a threat to sustainable rice production⁴.

53. To enhance resilience and minimize yield loss, the project should promote: i) Efficient, climate-smart irrigation systems; ii) Use of drought- and flood-tolerant rice varieties; iii) Design of resilient, multipurpose water storage and irrigation infrastructure; iv) Access to agricultural insurance products; v) Institutional capacity building for climate-resilient rice value chain practices. This will enhance alignment with Mozambique National Adaptation Plan (NAP 2021-2050,2023). Further detail in the climate resilience action plan in the technical annex on climate change.

54. The project's main greenhouse gas (GHG) emission sources are land use changes from irrigation infrastructure development and methane from rice cultivation. Using the FAO EX-ACT

³ *Frontiers in Climate*, 2023. *Historical Impacts of Climate Change on Agricultural Yields in Africa*

⁴ *Foreign Agricultural Service*, 2024. *Mozambique Rice Production Estimates*

tool, total emissions are estimated at 1,565.08 tons CO₂eq per year, or 39,127 tons CO₂ eq over 25 years. To offset these emissions, the project will implement solar-powered irrigation and use locally sourced materials for rural infrastructure, supporting a low-carbon, climate-resilient development pathway.

55. Overall, the project constitutes a direct investment in the agriculture, forestry, and land use (AFOLU) sector and is characterized by relatively low greenhouse gas (GHG) emissions, thereby qualifying under the Paris-aligned positive list of activities, in line with the Joint MDB Paris Alignment Framework (see detail in the technical annex). The project also presents an opportunity to strengthen the resilience of the rice value chain in Mozambique, thereby enhancing food security and promoting the adoption of climate-smart agricultural practices. These objectives are aligned with Mozambique's updated Nationally Determined Contribution (NDC, 2022).

D. OTHER CROSS-CUTTING PRIORITIES

Poverty reduction, Inclusiveness and Job Creation

56. Poverty reduction, Inclusiveness and Job Creation. Poverty remains high in rural areas and is becoming geographically concentrated in some provinces particularly in Zambezia, Sofala, Gaza and Nampula, the zone of influence of this project. It is expected that the successful implementation of this project will help reduce poverty, increase inclusiveness and job creation, particularly in the rice value chain.

57. No negative social impact is foreseen as a result of RIVACREP implementation.

Opportunities for Building Resilience

58. The development of a Rice Value Chain is considered having a resilience approach towards poverty eradication and enhancement of food and nutrition security. Rice is also one of the staple sources of carbohydrates for a significant portion of the population.

59. Across the targeted 4 provinces, rice farming has been a source of livelihoods for smallholder farmers, but with poor incomes and their practices are susceptible to changing weather patterns and amount of rainfall. Incomes for the farmers are also unreliable, given the inability to access markets easily and regularly, meanwhile their production is also erratic when seeds, land preparation and other inputs are unaffordable to most of them. In addition, research on seed varieties, weather, soil health and fertilisers suitable to specific areas remains a challenge for rice producers, against poor knowledge on adaptation and soil conservation and productivity. Consequently, it is difficult to strengthen the value chain and attract private sector players as agro-dealers or off-takers if production is unreliable or sustainable.

60. At the basic, the agriculture sector is vulnerable to climate change, low incomes and volatilities of commodity prices across crop varieties. While poverty levels in rural communities are relatively higher compared to more urban areas in the provinces of Nampula, Sofala, Zambezia and Gaza, Nampula faces direct emerging insurgent risks, given the May 2024 attacks on the district of Erati along the borders with Chiúre district in Cabo Delgado. Nampula has been the hosting province of many internally displaced people, whose situations remain in humanitarian state and have added significant pressure on limited resources in hosting communities.

61. The context of North Mozambique, including Nampula, has the additional risk of insurgent attacks on their lives, social services and livelihoods. They have traditionally depended on small-scale agriculture activities, provision of tourism services and other artisanal livelihoods.

62. Agriculture is the mainstay of the Mozambican economy and the main source of employment, estimated over 70%, with over 90% women concentrated in highly informal and vulnerable activities, and contributes significantly to (estimated 27.8%) GDP (2020/3). Hence, this sector, dominated by women and youth, is important and provides significant pathways to uplift communities. Strengthening the value chain in rice production and most commercially viable crops will tackle poverty, unemployment and inequalities across targeted provinces. The additional benefit is peacebuilding, given the contributory effects of supporting livelihoods, improved incomes and employment opportunities, if the benefits are inclusive and communicated better.

63. In terms of food and nutrition security, the rural poor continue to depend on rainfed practices and investing in irrigation systems will enhance the potential for reliable production and benefit productivity potential and promote livelihoods and off-farm activities. At-risk young men will benefit from income opportunities, if the project will be able to demonstrate the potential of value chains to increase their incomes and improve their income and social needs. Annex 3.2 analyses fragility and resilience to support project design.

Gender Equality and Women's Empowerment Promotion

64. Gender Marker Categorization: this intervention is assessed as Category II as the proposed operation make an important contribution towards women economic empowerment in rice value chain in the provinces of Nampula, Zambezia, Sofala and Gaza.

65. Mozambique's rice sector depends primarily on the efforts of small-scale producers whereas the women are the most important labour force. In Nampula, Zambezia, Sofala and Gaza, women often take activities along the entire Rice Value Chain from planting, irrigating, weeding, harvesting, threshing, winnowing, pounding/milling, parboiling, cooking, trading, etc. and contribute in general to household nutrition and food security. However, due to gender roles and papers women have less access than men to critical productive resources and services, including credit, farm inputs (seed, fertilizers, pesticides, etc.), marketing facilities, knowledge and farming technology, extension and information. Women also face the largest burden of work in rice camps, if compared to the few hours of men, since the crop demands highly manual and labour-intensive care activities, and this tends to be added to the largest burden of care at household level that the women already have. Also, women do not benefit from the dividends of the rice sector. Although the detrimental socio-cultural practices tend to be visible in the entire Rice Value Chain it is in the commercial area that causes more harm to the women, since they tend to be totally excluded to the lucrative business of selling the crop which involves mostly the men. The Country Constitution (CRM), Gender policy, Land policy, sector strategies and various initiatives of agriculture endorse equal rights to own and control land, however existing customary laws often prevent women from access and expansion to fertile farmland. Together with the land issues women are also affected by the poor quality of seeds and low productivity due to the negative impacts of the climate change on the traditional varieties of rice. The impact of climate change on the crop production, contributes to food insecurity and impact on women work in the hardest way as they work under the most perilous circumstances, tougher conditions, and their economic ability to adapt to shifting agricultural constraints & opportunities in a changing climate is restricted. Women health condition tends to be poor, since there work in rice farm plantations is done in an environment that is hostile to their health condition as it requires to them to be immerse in water and for long hours, with no protection. Many of them develop cancer and other related skin diseases when not bitten by water snakes.

66. Interventions under this project (i) will support women's to increase their production and productivity through access to seeds, technology, machinery; (ii) will address discriminatory practice/ constraints under the value chain that prevent women from participating or accessing benefits and this will be done through the GALS tool; (iii) build skills and support to strengthen existent women's associations groups to become strong bodies for rice commercialization to the private sector domains that are traditionally male dominated; (iv) support to increase market demand for quality rice produced by women small holder farmers; (v) increase the numbers of women small holder farmers with more access to assets as equipment and as well as (vi) access to agricultural services of training, technology inputs on rice; (vii) introduce innovative services with the use of ITC on marketing, commerce for youth under the rice value chain that can stimulate their active participation; (viii) provide a gender-responsive approach to both climate change resilience and economic empowerment in the context of rice value to empower women in the face of climate change. (xix) Special partnership should be with IITA/TAAT in 3 concrete areas of women disadvantage are access to seeds, market and commerce defined by the stakeholders as the most critical for women economic empowerment under the rice value chain. A Gender analysis is provided with technical annex of this document.

4 IMPLEMENTATION

A. INSTITUTIONAL AND IMPLEMENTATION ARRANGEMENTS

67. The Recipient's Ministry of Agriculture, Environment and Fisheries (MAAP) shall be the Executing Agency (EA) for this Project through the National Directorate of Agriculture (DINAG) as the implementing agency (IA) hosting the PIU. The Recipient shall cause the Executing Agency to maintain during the implementation, the project implementation unit (the "PIU") established under this financing. In particular, the Recipient shall ensure that the following members of the PIU are recruited through a competitive process: (i) Project Coordinator, (ii) Procurement Specialist, (iii) Financial Management Specialist, (iv) Monitoring and Evaluation (M&E) Officer, (v) Social Specialist, (vi) Environmental Specialist with expertise on Occupational Health and Safety and climate-related issues, (vii) Irrigation and Infrastructure Officer; (viii) Rice Value Chain Officer (Agronomist); (ix) Gender, Nutrition and Youth Empowerment Officer; (x) Accountant/Finance Assistant; and (xi) Procurement Assistant.

68. At Provincial level projects activities will be overseen by Provincial Directorate of Agriculture, Environment and Fisheries. Particularly to Gaza province, the *Regadio de Baixo Limpopo* (RBL) will oversee the project activities implementation.

69. In terms of governance, the project will be oriented by the National Project Steering Committee (NPSC) that will serve as the governing body of the Project. The NPSC will be chaired by the Permanent Secretary of the MAAP and composed of members from institutions with direct relevance to the achievement of the Project objectives. These include among others the Director of DINAG; INIR; RBL, IIAM; DNE, National Institute for Meteorology (INAM), Provincial Directorates of MAAP.

70. The PIU will be the responsible for addressing all implementation issues, toward efficient and effective project implementation, review the Project's approaches and internal procedures, progress monitoring, strategies, and annual work plans and budgets, procurement plan, effective implementation of fiduciary aspects, and serve as a forum for coordinating government bodies, and other relevant entities and organizations operating in the Project area and those with potential synergies interventions. In addition, the PIU shall be responsible for, carrying out, inter alia the following tasks in a manner satisfactory to this Financing. These include (i) Progress reports, interim quarterly financial reports, annual audit reports, and any other technical reports on Project activities; (ii) All Project related procurement including procurement, supervision of quality assurance, disbursement, financial management, monitoring and evaluation, and donor coordination; (iii) Working in close consultation with key Project stakeholders; and overall day-to-day communication with the Fund on all matters concerning; (iv) Project implementation, including seeking no objections and providing the link to the Fund on matters related to the implementation of the project.

B. PROCUREMENT

71. Procurement of goods (including non-consultancy services), works and the acquisition of consulting services, financed by the Bank for the project, will be carried out in accordance with the "Procurement Policy and Methodology for Bank Group Funded Operations" (BPM), dated October 2015, and following the provisions stated in the Financing Agreement. Specifically, Procurement would be carried out following: **(i) Borrower Procurement System (BPS):** Specific Procurement Methods and Procedures (PMPs) under BPS comprising its Laws and Regulations, namely, Decreto 79/2022 de 30 de Dezembro— *Regulamento de Contratação de Empreitadas de Obras Públicas, Fornecimento de Bens, e Prestação de Serviços ao Estado* (Regulations for Contracting of Public Works, Supply of Goods and Consultancy & Non-Consultancy Services to the State), using the national Standard Solicitation Documents (SSDs) as amended to be in consistent with the new law, using the national Standard Bidding Documents (SBDs) or other Solicitation Documents agreed during project negotiations" for various group of transactions to be entailed under the project; **(ii) Bank Procurement Methods and Procedures (PMPs):** Bank standard PMPs, using the relevant Bank Standard Solicitation Documents SDDs, for contracts that are indicated in Annex B5, Para. B 5.5, or (ii) in case BPS is not relied upon for a specific transaction or group of transactions; and (iii) in case BPM have been found to be the best fit for purpose for a specific transaction or group of transactions.

72. The proposed Executing Agency is the Ministry of Agriculture, Environment and Fisheries (MAAP). A preliminary assessment showed that the MAAP has experience in undertaking procurement activities using the Multilateral Development Bank's procurement regulations and is currently implementing the AfDB-funded project using its procurement rules. However, due to the increase of the workload caused by the additional procurement activities under this project, to the project is recruiting a dedicated experienced Procurement Specialists who will be responsible for carrying out the project procurement activities

73. MAAP is currently overseeing four Bank-funded projects, namely, AVACYEP, PIDACC, and PROCAVA and AGRIZIDERP. In 2024, MAAP closed *the Baixo Limpopo* Irrigation Project which also provided interesting lessons. Based on the performance of these projects, it's evident that the Ministry faces capacity constraints, particularly in procurement activities. This is manifested in delays and the poor quality of the procurement documents submitted to the project. Thus, the Bank considers working with MAAP, to establish a procurement team to oversee all the Bank's financed projects within MAAP. For this project, to avoid project start-up delays, the Bank and the government agreed on a list of activities to be carried out using Advance Procurement. This includes the contracting of PIU staff and engineering infrastructures design and construction supervisor firm, especially rice mills factories and aggregation centres, and supervisor firm for the irrigation infrastructure which the detailed designs projects are ready.

74. In Mozambique, procurement is regulated by decree (Decree N° 79/2022 dated 30 December - Regulations for Contracting of Public Works, Supply of Goods and Consultancy and Non-Consultancy Services) which approves the regulations for public works contracts, supply of goods and consultancy (and non-consultancy) services. The fiduciary assessment of the country system reveals that weaknesses remain in the public procurement chain, particularly regarding the principle of Equity (which includes fairness, transparency, integrity, etc.) set forth in Procurement Policy for Bank Group Funded Operations", dated October 2015. The last evaluation of the procurement system (2017-interim BPAR) qualified the risk as "Substantial".

C. FINANCIAL MANAGEMENT, DISBURSEMENT, AND AUDIT

75. The Executing Agency (EA), MAAP through the National Directorate of Agriculture (DINAG), where the Project Implementation Unit (PIU) will be housed will be responsible for the financial management of the project, including planning and budgeting, maintenance of a sound internal control environment, preparation of quarterly Interim Financial Reports and the annual Financial Statements. The EA has experience in managing donor funded projects, including the World Bank and AfDB financed projects. MAAP is currently implementing phase one of the Inclusive Agri-Food Value Chain Development Programme (PROCAVA) co-financed by IFAD and the Agriculture Value Chain and Youth Empowerment Project (AVACYEP), and the Programme for Integrated Development and Adaptation to Climate Change in the Zambezi River Basin (PIDACC) Bank funded projects. The entity complies with the donor's reporting and external audit requirements, and the current financial Management system meets the Bank's minimum requirements. In addition, the project will be subject to internal audits done by the internal audit department of the MAAP. The internal audit reports produced will also be reviewed by the Bank as part of ongoing monitoring.

76. The EA will use the existing financial management systems of the ongoing projects, including, the Finance Manual which will be adapted to this project. The entity will configure its accounting software to include this project. To accommodate the extra work associated with the proposed new project, an additional experienced Financial Management Officer is being competitively recruited to join the PIU. The project's performance will be monitored through quarterly progress reports, and the PIU will prepare interim quarterly Financial Progress Reports to be submitted within 45 days after the end of each quarter.

77. The project will be audited annually by competitively recruited external auditors, in accordance with the audit terms of reference approved by the Bank. The audited financial statements (with audit opinion) along with the management letter will be submitted to the Bank within six months after the end of the financial year. The Project will mainly use the Direct Method and the Revolving funds (Special Account) methods to pay for eligible project expenditures, although the other methods (Reimbursement and Reimbursement Guarantee) remain available. Overall FM Risk

is assessed as Moderate. The detailed of risk assessment is presented in the technical annexes of this PAR.

D. MONITORING AND EVALUATION

78. The Project Implementation Unit (PIU) will be responsible for the monitoring and evaluation of project activities and the implementation of the results framework, in close coordination with technical experts on the project implementation team. Monitoring will be carried out both at the central and provincial levels and will cover output and outcome indicators. The PIU will work closely with relevant Ministries, Directorates, Government Agencies, and research institutes for data collection and M&E. A qualified Monitoring and Evaluation Specialist will be recruited within the PIU and will benefit from tailored capacity-building programs to ensure a strong understanding of the project scope, indicators, and M&E methodologies.

79. To guide the implementation of the M&E system, a Monitoring and Evaluation Manual will be developed. This manual will define procedures for data collection, indicator tracking, reporting, responsibilities, and quality assurance. In addition, the project will deploy a Monitoring and Evaluation and Management Information System (MIS), which will support real-time tracking of progress against indicators, including gender-specific metrics and environmental safeguards-related indicators. This system will play a central role in facilitating performance monitoring, timely reporting, and informed decision-making. Finally, a comprehensive impact evaluation will be conducted at the end of the project to assess its contribution to development outcomes. This outcome assessment will verify whether the project has achieved its intended development objectives and generate lessons for future programming. All supervision and M&E-related activities, including the final impact evaluation, are fully budgeted under the PIU operational costs.

80. Knowledge Management (KM) will be an integral part of RIVACREP, Monitoring and Evaluation and Learning (MEL) that ensures that Project implementation is a continuous learning process in which evidence-based data is continuously collected on innovations and technologies and is analysed, disseminated as KM Products that will mainly target policy influence and change. The RIVACREP KM function is complemented by the MIS, routine field M&E visits, and thematic studies on which quantitative and qualitative data is assessed to primarily develop: (i) policy level KM Products (policy, briefs, strategies, working papers), (ii) beneficiary success stories; (ii) training manuals on technologies and best practices; and (iv) lessons learned, captured from the Project Completion Report (PCR). These processes and technologies will further be embedded in the RIVACREP activities in knowledge building and dissemination.

81. Disbursements. The resources will be disbursed in accordance with the rules and procedures of the Bank's Disbursement Handbook through the three disbursement methods: (i) direct payment (for the procurement of works, goods and services and other relatively high-cost expenditure); (ii) The Special Account method to be managed by the PIU and (iii) reimbursement, where appropriate.

E. GOVERNANCE

82. The project will strategically guide by the National Programme Steering Committee (NPSC) that will serve as the governing body of the Project. The NPSC will be chaired by the Permanent Secretary of the Ministry of Agriculture, Environment and Fishers and composed of members from institutions with direct relevance to the achievement of the Project objectives.

83. The Project will be utilizing qualified staff to ensure economic viability and efficiency of project procurement and financial management processes. Furthermore, the Government of Mozambique has been implementing several reforms to enhance governance, transparency, and accountability. There have been major structural and functional reforms with emphasis on policy and institutional actions including public financial management system, decentralization, and capacity building, all to ensure accountability and transparency in Government operations. The Bank will follow up on governance through regular field supervision missions, audit reports, Annual Work Plan and Budget (AWPB), progress reports and procurement plans. At the end of the project, a Project Completion Report (PCR) will be conducted. The Bank is effectively on the ground with the Country Office (COMZ) in Maputo and thus close interaction and follow-up will be undertaken at the Country level to ensure that implementation of Project activities is on course.

84. To ensure satisfactory project performance, the Bank will undertake project implementation assistance and guidance through supervision missions during project implementation. The Bank will undertake supervision missions twice a year, to ensure necessary technical support on the result framework progress, technical areas compliance, such as procurement, financial management and environmental safeguards. Additionally, the Bank will provide some training to the PIU in Bank procedures, Project financial management, and assistance in environmental safeguards aspects.

F. SUSTAINABILITY

85. The project will ensure sustainability of the activities through its investments in climate resilient infrastructure and technologies as well as by establishing a clear communication channel with all stakeholders (government and project beneficiaries). The project also has measurable goals and targets and identified risks and challenges and developed a monitoring and evaluation plan. Delivering the adequate rice technologies and financial resources to rice farmers and linking organized farmers to input and output markets will allow farmers to increase production which will improve the food security and nutrition and increase their incomes, which will, without the project, likely be reinvested in the agriculture.

86. Rooted in the project theory of change (ToC) for this project, in addition to supporting activities to improve production and productivity, the project will create conditions for infrastructure management through local stakeholders. This will include creation and strengthening the water user associations (WUA) and the integration of the private sector into rice processing units, allowing for an intrinsic connection with farmers, making the value chain more fluid and consolidated.

87. For the irrigation infrastructure, the WUA will be engaged in leading irrigation service provision charging a market price to the operationalization of infrastructures, and ensure infrastructure maintenance costs, energy (electricity or fuel), and logistics costs, and other cost related to schemes operation. The fee should be charged per hectare.

88. The infrastructure development should be anchored to two main dimensions of sustainability, namely, (i) Organizational, technical, and institutional sustainability associated with project irrigation development; and (ii) the Economic sustainability (water costing and cost-recovery for O&M, level of opportunistic behaviours and free-riders).

89. To enable the environment for private sector participation through the Micro and Small and Medium enterprises (MSME) in the rice value chain providing inputs and equipment.

G. RISK MANAGEMENT

90. The Project assumes (i) that the Government will continue with its commitment to social and political consensus and macroeconomic stability; (ii) Mozambique will be affected by climate events; (iii) no restriction on private sector/NGO participation in rice industry.

91. The current risks include, (i) Internal displaced people specially for Nampula province due to proximity to the area of Cabo Delgado affected by insurgency; (ii) Political instability associated to post-election unrest environment; (iii) Research and Development for Farmers regarding knowledge transfer and dissemination and adaptability of selected improved rice seeds; and (ii) Environmental risks associated to climate change on the production systems. The details of risk identification and mitigation measurement are presented in the Technical Annexes of this PAR.

H. KNOWLEDGE BUILDING

92. The Project will be a continuous learning process in which resources for systematically documenting and publishing new lessons learnt, especially on adoption technologies for rice production that are less documented, will be availed.

93. Furthermore, the Project will promote the collection of quantitative and qualitative data to be compiled, analysed, and disseminated alongside the lessons learnt. The project will support the National Agricultura Research Institute (IIAM) to conduct research and generate knowledge on effective seed production systems for the rice crop.

94. All project related studies and research would be made readily available on the AfDB websites for wider dissemination. Finally, the third approach is to bring marketing issues to the level of farmers and women groups and youth, which will also be documented. Contracted service providers will train beneficiaries, especially women, on value addition. This will allow farmers to increase shelf lives and get better prices for their produce, create jobs in the processing centres and enhance the communities' skill set. The successes of these practices will also be documented and be disseminated.

5 LEGAL INSTRUMENTS AND AUTHORITY

A. LEGAL INSTRUMENT

95. The legal instrument that will govern the financing for the Project is a Protocol of Agreement to be entered into between the Republic of Mozambique (the "Recipient") and the African Development Fund ("ADF" or the "Fund") for an ADF-16 grant of an amount not exceeding the equivalent of UA 16,600,000 (the "Grant").

B. CONDITIONS ASSOCIATED WITH BANK'S INTERVENTION

96. Entry into Force: The Protocol of Agreement shall enter into force upon its signature by the Recipient and the Fund.

97. **Condition Precedent to the First Disbursement of the Grant:** The obligation of the Fund to make the first disbursement of the Grant shall be conditional upon the entry into force of the Protocol of Agreement and the fulfilment by the Recipient, in form and substance satisfactory to the Fund, of the following condition:

- a) Submission of evidence of the recruitment of the following staff for the project implementation unit (PIU), with qualifications and terms of reference acceptable to the Fund: (i) Project Coordinator, (ii) Procurement Specialist, (iii) Financial Management Specialist, (iv) Monitoring and Evaluation (M&E) Officer, (v) Social Specialist, (vi) Environmental Specialist with expertise on Occupational Health and Safety and climate-related issues.

98. **Other Conditions:** The Recipient shall, within three (3) months of the first disbursement of the Grant or such other period as may be approved by the Fund, submit to the Fund:

- a) Evidence of the establishment of a National Project Steering Committee (NPSC) with a composition as described in the Institutional and Implementation Arrangements section of this report; and
- b) Evidence of the competitive recruitment of the following additional staff for the PIU with terms of reference and qualifications acceptable to the Fund: (i) Irrigation and Infrastructure Officer; (ii) Rice Value Chain Officer (Agronomist); (iii) Gender, Nutrition and Youth Empowerment Officer; (iv) Accountant/Finance Assistants; and (v) Procurement Assistant.

99. **Undertakings: The Recipient shall:**

- a) Adopt, and cause the Executing Agency to, adopt the measures defined in the Financial Management, Disbursement and Audit section of this report.
- b) Maintain the existence and functioning of the PIU and NPSC, each in a form and with a composition and terms of reference acceptable to the Fund, throughout the duration of the Project implementation period; and
- c) In respect of Environmental and Social Safeguards:
 - (i) execute the Project in compliance with the environmental and social safeguards measures stipulated in the applicable environmental and social instruments, the Environmental and Social Management Plan ("ESMP") annexed to the Protocol of Agreement, and the applicable national legislation in a manner and in substance satisfactory to the Fund.

- (ii) refrain from taking any action which would prevent or interfere with the implementation of the environmental and social safeguards measures including any amendment, suspension, waiver, and/or avoidance of any provision thereof, whether in whole or in part, without the prior written concurrence of the Fund.
- (iii) prepare and submit to the Fund, on a monthly basis, a Periodic Environmental and Social Safeguards Implementation Report and, where applicable, on annual basis an Environmental and Social Safeguards Performance audit report prepared by an independent expert; and
- (iv) cooperate fully with the Fund in the event that the implementation of the Project or change in Project scope results in hitherto unforeseen resettlement of persons, and shall not commence any works in the affected area under the Project, unless all PAPs in such areas have been resettled in accordance with a Resettlement Action Plan (RAP), to be prepared by the Recipient and approved by the Fund.

100. **The Recipient's Counterpart Contribution:** The Recipient shall with, within three (3) months of the first disbursement of the Grant, or such later date as may be approved by the Fund, provide or pay for office accommodation, office supplies, electricity and other utilities and operational overheads, in accordance with agreed specifications and requirements acceptable to the Fund, as its in-kind contribution towards the costs of the Project.

C. COMPLIANCE WITH BANK POLICIES

- ☐ This project complies with all applicable Bank policies.
- ☒ There are exceptions to Bank policies. However, please note that, in line with the Policy on Expenditure Eligible for Bank Group Financing (2008), Section 9 to this report contains justifications for the utilization of the Fund's resources to finance taxes (VAT).

African Development Bank Group Independent Recourse Mechanism

101. Communities and individuals who believe that they are adversely affected by an African Development Bank Group (AfDB) supported project may submit complaints to existing project-level grievance redress mechanisms or the AfDB's Independent Recourse Mechanism (IRM). The IRM ensures project affected communities and individuals may submit their complaint to the AfDB's Independent Recourse Mechanism which determines whether harm occurred, or could occur, as a result of AfDB non-compliance with its policies and procedures. To submit a complaint or request further information please contact: IRM@afdb.org or, visit the IRM website www.irm.afdb.org. Complaints may be submitted at any time after concerns have been brought directly to the AfDB's attention, and Bank Management has been given an opportunity to respond before reaching out to the IRM.

6 RECOMMENDATION

- 102. Management recommends that the Board of Directors approve the proposed grant of Sixteen Million, Six Hundred Thousand Units of Account (UA 16,600,000.00) to the Republic of Mozambique for the purposes and subject to the conditions stipulated in this report.
- 103. Finally, Management recommends that the Board authorizes the utilization of the ADF-16 resources to finance taxes associated with the Project expenditures, given the justifications detailed in Section 9 to this report, and in line with the Policy on Expenditure Eligible for Bank Group Financing (2008).

A	PROJECT INFORMATION					
PROJECT TITLE: RICE VALUE CHAIN AND CLIMATE RESILIENCE PROJECT (RIVACREP)			COUNTRY: MOZAMBIQUE			
PROJECT DEVELOPMENT OBJECTIVE: Improve competitiveness and climate resilience of the rice value chain in Mozambique improve production, productivity, market share (competitiveness) and income generation from rice production.						
ALIGNMENT INDICATOR (S): (i) Population living below the poverty line (%); (ii) Prevalence of moderate or severe food insecurity in Africa (%) (iii) Self-sufficiency in rice – net trade balance (excluding intra-regional trade); (iii) Cereal yield (ton/hectare).						
B	RESULTS MATRIX					
RESULTS CHAIN AND INDICATOR DESCRIPTION		RMF/ADOA INDICATOR	UNIT OF MEASUREMENT	BASELINE (2025)	TARGET AT COMPLETION (2030)	MEANS OF VERIFICATION
OUTCOME STATEMENT 1: Rice productivity and self-sufficiency increased						
OUTCOME INDICATOR 1.1: rice yield including nutrient reach/biofortified varieties		☒	Ton/ha	1	4	Final Impact Evaluation Report
OUTCOME INDICATOR 1.2: Increased rice self-sufficiency in Mozambique		☒	%	50	75	
OUTCOME STATEMENT 2: Nutritional security and living conditions are improved						
OUTCOME INDICATOR 2.1: Increase in household income in targeted areas		☒	USD	590	1000	Final Impact Evaluation Report
OUTPUT INDICATOR 2.2. Number of beneficiaries reached with nutrition promotion interventions		☐	Number	0	6000 (4200 women, 1800 youth)	Final Impact Evaluation Report
Component 1. Improve climate smart in rice production and productivity						
OUTPUT STATEMENT 1.1. Climate-smart rice production technologies and practices scaled up						
OUTPUT INDICATOR 1.1.1: Quantity of basic improved seeds produced.		☐	Tonnes	0	100	Production reports from seed production units
OUTPUT INDICATOR 1.1.2: Quantity of certified improved seeds produced		☐	Tonnes	0	1500	Production reports from seed production units
OUTPUT INDICATOR 1.1.3. Number of beneficiaries (e.g. famers, producers, extension services professionals) trained on the climate resilient rice varieties		☐	Number	0	1500 (675 women, 900 young)	Training attendance sheets or participant registers
OUTPUT INDICATOR 1.1.4. Number of farmers directly reached with climate resilient rice technological package		☐	Number	0	2000 (900 women, 1200 young)	Beneficiary distribution/registration lists
OUTPUT STATEMENT 1.2. Infrastructure Development for Rice Production						
OUTPUT INDICATOR 1.2.1. Area with soil levelled at RBL (Gaza) irrigation scheme for rice production		☐	ha	0	2000	Supervision and site visit reports
OUTPUT INDICATOR 1.2.1. Area rehabilitated with irrigation infrastructure		☐	ha	0	1000	Supervision and site visit reports
Component 2. Promote the integration of private sector into rice development value chain						
OUTPUT STATEMENT 2.1. Climate-resilient rice processing technologies and practices promoted						
OUTPUT INDICATOR 2.1.1. Number of small-scale rice millers rehabilitated		☐	Number	0	5	Supervision and site visit reports
OUTPUT INDICATOR 2.1.2. Number aggregators centres established		☐	Number	0	5	Supervision and site visit reports.
OUTPUT INDICATOR 2.1.3. Number of beneficiaries of rice inputs and equipment		☐	Number	0	2000 (900 women 1200 young)	Beneficiary distribution/registration
OUTPUT INDICATOR 2.1.4. Number of beneficiaries reached with nutrition promotion interventions		☐	Number	0	6000 (70% women)	Beneficiary distribution/registration
OUTPUT STATEMENT 2.2. Access to Market and Financing for Rice Value Chain						
OUTPUT INDICATOR 2.2.1. Market Analysis for innovations study		☐	Number	0	1	Market Analysis for innovations study approved report
OUTPUT INDICATOR 2.2.2. Number of key SMEs benefiting from Business to Business (B2B) events		☐	Number	0	25 (10 women, 15 youth)	B2B event participant lists
OUTPUT INDICATOR 2.2.3. Number of beneficiaries from the rice value chains benefiting from crop insurance		☐	Number	0	2000 (900 women, 1200 young)	Beneficiary distribution/registration

ENVIRONMENTAL AND SOCIAL COMPLIANCE NOTE (ESCON)

A. Basic Information⁵		
Project Title: Rice Value Chain and Climate Resilience Project		Project SAP or TFMS code: P-MZ-A00-005
Country: Mozambique	Region: RDGS	Lending Instrument: Project Finance Loan/Grant
Project Sector Unit: Agriculture	Task Team Leader(s): Eugenio NHONE	
Appraisal dates: 8th - 18th April 2025		Estimated Approval Date: July 17, 2025
Environmental Safeguards Officer: Bruno Alberto NHANCALE/Enoque VICENTE		
Social Safeguards Officer: Daniel Ouma OGOL/Fernando PONDECA		
Environmental and Social Category: Category 1	Operation type: Public Sector Operation	Financial Intermediary: No
Categorization date: February 5, 2024	Categorization in ISTS: April 29, 2024	Categorization in SAP: August 23, 2024
Is this project processed under rapid responses to crises and emergencies?		No
Is this project processed under a waiver to Integrated Safeguards System (ISS) requirement(s)?		No
B. Disclosure and Compliance Monitoring		
B.1 Mandatory disclosure		
Environmental Assessment/Audit/System/Others: [04 Environmental and Social Impact Assessment (ESIA)]		
Was/Were the document (s) disclosed prior to appraisal?		Yes
Date of "in-country" disclosure by the borrower/client		September 16, 2024
Date of receipt, by the Bank, of the authorization to disclose		September 10, 2024
Date of disclosure by the Bank		September 18, 2024
Resettlement Action Plan (RAP) ⁶ : [specify including number]/		
Was/Were the document (s) disclosed prior to appraisal?		NA.
Date of "in-country" disclosure by the borrower/client		Click to Set the date
Date of receipt, by the Bank, of the authorization to disclose		Click to Set the date
Date of disclosure by the Bank		Click to Set the date
Stakeholder Engagement Plan (SEP): [04 Stakeholder Engagement Plan]		
Was/Were the document (s) disclosed prior to appraisal?		Yes
Date of "in-country" disclosure by the borrower/client		September 16, 2024
Date of receipt, by the Bank, of the authorization to disclose		September 10, 2024
Date of disclosure by the Bank		September 18, 2024
Pest Management Plan (PMP/VMP): [04 Pest Management Plan]		
Was/Were the document (s) disclosed prior to appraisal?		Yes
Date of "in-country" disclosure by the borrower/client		September 16, 2024
Date of receipt, by the Bank, of the authorization to disclose		September 10, 2024
Date of disclosure by the Bank		September 18, 2024
Vulnerable Peoples Plan (VPP): [specify including number]		
Was the document disclosed prior to appraisal?		NA.
Date of "in-country" disclosure by the borrower/client		Click to Set the date
Date of receipt, by the Bank, of the authorization to disclose		Click to Set the date
Date of disclosure by the Bank		Click to Set the date

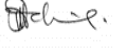
⁵ Note: This ESCON shall be appended to project appraisal reports/documents before Senior Management and/or Board approvals.

⁶ Including Livelihood Restoration Plan

Riparian Communities Participation Plan (RCPP): <i>[specify including number]</i>			
Was the document disclosed <i>prior to appraisal</i> ?		NA.	
Date of "in-country" disclosure by the borrower/client		Click to Set the date	
Date of receipt, by the Bank, of the authorization to disclose		Click to Set the date	
Date of disclosure by the Bank		Click to Set the date	
Emergency Preparedness & Response Plan (EPRP): <i>[specify including number]</i>			
Was the document disclosed <i>prior to appraisal</i> ?		NA.	
Date of "in-country" disclosure by the borrower/client		Click to Set the date	
Date of receipt, by the Bank, of the authorization to disclose		Click to Set the date	
Date of disclosure by the Bank		Click to Set the date	
Hazardous/Waste Management Plan (HWMP): <i>[Waste Management Plan: 1]</i>			
Was the document disclosed <i>prior to appraisal</i> ?		NA.	
Date of "in-country" disclosure by the borrower/client		Click to Set the date	
Date of receipt, by the Bank, of the authorization to disclose		Click to Set the date	
Date of disclosure by the Bank		Click to Set the date	
Riparian notification:			
Was the document disclosed <i>prior to appraisal</i> ?		NA.	
Date of "in-country" disclosure by the borrower/client		Click to Set the date	
Date of receipt, by the Bank, of the authorization to disclose		Click to Set the date	
Date of disclosure by the Bank		Click to Set the date	
Environmental and Social Management Plan (ESMP) of the financing agreement⁷			
Was the document disclosed <i>prior to appraisal</i> ?		No	
Date of "in-country" disclosure by the borrower/client		February 6, 2025	
Date of receipt, by the Bank, of the authorization to disclose		February 6, 2025	
Date of disclosure by the Bank		February 7, 2025	
If in-country disclosure of any of the above documents is not expected, as per the country's legislation, please explain why: NA			
B.2. Compliance monitoring indicators			
Have satisfactory calendar, budget and clear institutional responsibilities been prepared for the implementation of measures related to safeguard policies?			Yes
Have costs related to environmental and social measures, including for the running of the grievance redress mechanism, been included in the project cost?			Yes
Is the total amount for the full implementation for the Resettlement of affected people, as integrated in the project costs, effectively mobilized, and secured? ⁸			NA.
Does the Monitoring and Evaluation system of the project include the monitoring of safeguard impacts and measures related to safeguard policies?			Yes
Have satisfactory implementation arrangements been agreed with the borrower and the same been adequately reflected in the project legal documents?			Yes
C. Clearance			
Is the project compliant with the Bank's environmental and social safeguards requirements, and can be submitted to Approval?			Yes
Prepared by	Name	Signature	Date
Environmental Safeguards Officer:	Bruno Alberto NHANCALE /Enoque VICENTE		May 15, 2025
Social Safeguards Officer:	Daniel Ouma OGOL/Fernando PONDECA		May 15, 2025
Task Team Leader:			
Submitted by			

⁷ As referred to in section III.2.3 of the Bank's Environmental and Social Policy (ESP)

⁸ In case a resettlement action plan (RAP) are not required although ESIA is/are disclosed, attached the image/picture/photo of the area/site/landscape to evidence that it is free of any encumbrance (simple statement or letter from the borrower does not suffice), in addition to the statement by the borrower that it is a public-owned land.

Sector Director:	Martin FREGENE		19/05/2025
<i>Cleared by</i>			
Director SNSC:	Maman-Sani ISSA	 OIC	22/08/2025